Executive Order.

Article XXVIII of the Consular Regulations, 1896, entitled "Consular Reports", is hereby canceled and the following substituted:

Repealed
1940 C7R 103

ARTICLE XXVIII.

PROTECTION AND PROMOTION OF AMERICAN TRADE.

589. *Scope of Duties.*—It is the duty of consular officers to protect and promote the national economic interests of the United States. To this end they are required—

(1) To endeavor to create, each in his own district, a situation favorable to the importation and sale of American goods (general measures of trade promotion);

(2) To submit frequent reports on commercial and other economic subjects, both voluntarily and in reply to particular instructions from the Secretary of State;

(3) To reply to the private inquiries of American citizens touching commercial and industrial matters; and

(4) To lend aid and advice to American citizens having or contemplating business in their several districts.

The emphasis in trade promotion should be upon the development of the export trade of the United States; but the mutuality of trade interests and the benefits flowing from a well-balanced commercial exchange, make it also desirable that American merchants and manufacturers be assisted in purchasing abroad raw materials and goods which are not in direct competition with the products of American industry.

590. *Study of district.*—A consular officer should confine his commercial activities, and especially his trade reporting, to matters pertaining to his district. As prerequisite to the proper fulfillment of his commercial functions, he will familiarize himself, as soon as possible after arrival at his post, with the main facts constituting the economic life of his district. The manner in which information is obtained must necessarily vary, but none of the following methods may properly be omitted:

(1) Study of the more important reports of the officer's predecessor, especially those covering the last year.

(2) Perusal of other available published reports, monographs and books of a dependable character containing information concerning the country or district.

(3) Examination of statistical and other reports, pertaining to the country or district, published currently by the local government.

(4) Regular reading of the better newspapers and trade journals.

(5) Personal contact with leading local business men and officials.

Commerce - Foreign Commerce

GENERAL MEASURES OF TRADE PROMOTION.

591. *Enforcement of treaty and other rights.*—The United States has treaties with many countries securing within their territories to American citizens general liberty of commerce and navigation. Consular officers in a country with which there is such a treaty should study carefully its provisions, and watch over their observance by the local government. Even where no treaty exists, they should be vigilant to detect acts detrimental to the interests of American trade, and of a kind to be considered inconsistent with international commercial comity. Consular officers are empowered by treaty in the case of some countries, and in general they are conceded the right by usage, to make complaint to the local authorities concerning the infraction of treaties, and for the purpose of protecting the rights and interests of their countrymen. When consular officers feel they have reason to believe that treaty rights of American citizens have been infringed, a report should be promptly submitted to the Department of State and to the supervising consul general, if there be one, or to the American diplomatic representative. Consular officers will also submit to the supervising consul general, or to the diplomatic representative, if there be no consul general, and to the Department of State any general information or observations they may have to impart touching the rights and interests of American commerce under treaty and usage.

592. *Removal of obstacles to free importation of American goods.*—Local laws and administrative regulations should have the careful attention of consular officers, more particularly those having to do with the tariff, the customs and port administrations, warehousing and transportation, quarantine and the sanitary control of food stuffs. They should also study ocean and inland freight rates, and other conditions of transport. When it is thought that there is discrimination against American goods in respect to any of these matters, or that modifications in the substance, or manner of application of such regulations or rates, would stimulate the sale of American goods, and the desired modifications can not readily be obtained by application to the local authorities, a full report, with explicit recommendations as to the modifications considered desirable, should be made to the supervising consul general, if there be one, or to the diplomatic representative, if there be no consul general, and to the Department of State.

593. *Creation of demand for American goods.*—In addition to facilitating the importation and sale of American goods in their respective districts, as indicated in the foregoing paragraphs, consular officers should endeavor to create and foster an active demand for them on the part of local merchants. The acquaintance of importers should be carefully cultivated, and the high order of merit which in the main attaches to all classes of exports from the United States should be impressed upon them whenever fitting opportunity offers. The consulate should be made known to the local business community as a center to which it may resort for information of all kinds respecting American goods. Statistical and other publications relating to American trade should be placed at the disposal of all serious inquirers. In particular, directories of American manufacturers should be displayed for convenient reference, and every facility afforded in connection with their use.

594. *American chambers of commerce abroad.*—American chambers of commerce, or similar organizations, have been formed in a number of the more important commercial centers abroad by American citizens and others having an interest in American business. As these organizations are normally important and helpful factors in the development of trade between the United States and foreign countries, consular officers should lend them hearty support and cooperation in all their proper activities. In places where such organizations

do not already exist and the number of American residents and the importance of American business seem sufficient to support them, consular officers should, within the limitations mentioned below, take an active part, or even assume the initiative, in any movement for their creation, provided that the projected organization, by its serious, dependable and truly American character, commends itself to their judgment as being likely to subserve the development of American trade and the national interests of the United States. In cities where it is impracticable to organize active chambers of commerce, the formation of various types of American societies or clubs may be encouraged with a view to helpful exchanges of opinion and common action in matters of special interest to the American community.

Officers are cautioned to avoid lending support to unworthy enterprises and to avoid in any case becoming so closely identified with any chamber of commerce, or similar organization, that they may be considered by the local public, or firms or persons in the United States, as sponsors for the business reliability and financial integrity of the members of the organization. For this reason consular officers are not permitted to accept active offices in chambers of commerce, or similar organizations, but they may, and in appropriate circumstances should, act in honorary or advisory capacities. The law forbids the use of any public funds for the payment of membership dues in any society or association, unless authorized by specific appropriation.—37 Stat. L. 184.

Consular officers while in the United States may not solicit memberships for chambers of commerce in their districts, or contributions thereto, but may inform interested persons of the facts relating to the establishment, organization, and operation of these organizations, conditions of membership, dues, etc. They should refer any who may consider application for membership to the secretary or other appropriate officer of the organization with whom they may correspond.

COMMERCIAL REPORTS AND REPORTING.

595. *Object and general character.*—The main object in view in the preparation of commercial reports should be to supply accurate information for the use of the Government and the American business community in a general expansion of American trade.

Such reports should present a faithful reflex of the actual conditions of which they treat. Consuls should not yield to any temptation to construe facts or figures in advocacy of their individual theories and opinions. They should not, on the other hand, be mere transmitters of objective data. In addition to setting forth plainly and impartially statistics and positive information, the reporting officer should furnish, in distinct paragraphs, an analytical interpretation of the material presented, and, when appropriate, a full statement of his personal deductions and opinions.

Data must be obtained, as far as possible, from official sources, and the origin must in all cases be clearly indicated. When quotations are given, they should be carefully designated as such with the proper quotation marks, in order that they may not be confused with individual views or conclusions by the writer. In those portions of reports which are intended for publication, reference should be omitted to political or controversial matters, and particular care should be exercised to avoid unfavorable comments or criticism upon the government, people, or institutions of the country of the consul's residence.

It is a part of a consul's duty to transmit promptly to the Department of State commercial information of a political or controversial nature whenever it appears that the interests of the United States, or of American commerce, may be subserved thereby; but such communications should be in the form of separate despatches or special sections of reports conspicuously marked "Confidential", intended for the information of the Government alone.

596. *Reports to be submitted only to Department of State.*—The statutes on the subject—R. S. Sec. 1712; 32 Stat. L. 827.—contemplate that the Department of State shall be the sole medium through which consular reports shall reach other governmental departments or the public. Consular officers are accordingly prohibited from furnishing copies of their reports, or articles upon the trade or commerce of their districts, to any publication, to private persons, or directly to other departments. Such reports will be transmitted only to the Department of State, and the fact that they have been prepared should not be disclosed without special permission until after they have been published.

597. *Annual report.*—Every consular officer in charge of a consular office is required to submit to the Secretary of State, as soon as possible after the close of each calendar year, a report on the development of commerce and industries in his district during the year in question. This Annual Report should present a concise summary of the economic progress or retrogression during the year in question of the country or consular district under consideration. It should be prepared at the earliest possible moment after the annual trade statistics of the country or district are available. Consular officers should acquaint themselves with the sources of these statistics and should endeavor to obtain advance copies whenever practicable. The statistical tables published by the foreign governments should be sent as enclosures with the Annual Report, and only the important statistical tables and summaries need be reproduced in the report itself. The tables used in the Annual Report should give the figures for the year under review and the preceding year only, but it is also desirable to set forth figures for *total* imports and exports covering a series of years.

The Annual Report should be confined largely to comment upon the outstanding features of the year's trade and should dwell upon industrial conditions and development only in brief form and in case they affect American trade in some important degree.

597a. *Periodical Reports.*—In order that the Department may be kept fully informed throughout the year upon all economic developments that may be of interest to the American business public concise periodical reports upon the commerce and industries of each consular district are required. They should contain a general picture of the developments which have taken place within the district during the period under review. These reports will be used for the information of the Department of State, and by the Bureau of Foreign and Domestic Commerce in the preparation of its periodical reviews of various countries and geographical units.

598. *Annual declared export return.*—Within twenty days after the close of each calendar year a return shall be submitted in duplicate to the Department of State, on Form No. 20, of the exports declared for shipment to the United States and its dependencies during the year in question at the consular office and the agencies subordinate to it, if any. This return is in the nature of a commercial report, and is not to be included in the accounts and returns but forwarded separately. The return shall include the following separate statements or tables: (1) Itemized quantities and values of exports to the United States; (2) same for Porto Rico; (3) same for Hawaii; (4) same for the Philippine Islands; and (5) itemized quantities and values of returned American goods, if any. When there have been no exports to any one or more of the dependencies mentioned, the fact should be specifically stated on the return. Returns of exports declared at consular agencies should be separate from, but should be prepared in the same manner as the returns from principal officers.

599. *Special reports.*—From time to time the Secretary of State addresses to consular officers circular or particular instructions calling for reports on special subjects. In complying with these instructions officers should in every instance endeavor to be prompt in reply, and accurate in statement. Whenever

it seems likely that the gathering of the necessary data will involve delay, the Department should be advised at once of the reasons therefor, and the date at which the report will probably be forwarded.

600. *Voluntary reports.*—Consular officers are expected to report on their own initiative concerning all matters arising in their districts of a kind to interest or be of use to the American business community or to the Government in its efforts to protect and promote American trade. In respect to many subjects it will not suffice to report accomplished facts, but officers should study the probable course of development in that they may foresee, and point it out in time to be of use.

601. *Trade opportunities.*—Consular officers should be especially watchful and alert to discern and to report promptly all concrete opportunities which may arise within their districts for the extension of American trade or the furtherance of American commercial, industrial, and financial interests.

602. *List of foreign firms.*—There shall be maintained in each consular office a list or file, in the form prescribed by the Secretary of State, of the principal commercial and industrial firms in the consular district. Copies of this list shall be furnished to the Secretary of State as he shall direct. Brief special lists of foreign firms interested in specific classes of business shall also be prepared, as directed in Paragraph 603c.

REPLIES TO TRADE INQUIRIES.

603. *Trade inquiries to be answered promptly and specifically.*—Inquiries on commercial subjects received from American citizens, or those acting in the interest of American trade, should be answered promptly, specifically, and fully within the limitations stated in the two succeeding paragraphs. The interest of the inquirer in the development of export trade is usually serious, and a decision whether to enter particular fields may rest upon the replies received from consular officers. There is need, therefore, for carefully considered, pertinent and comprehensive information. In cases where a complete answer can not be given at once, prompt acknowledgment should be made, to be followed later by a more detailed reply.

603a. *Limitations on replies to trade inquiries.*—Consular officers may not correspond with private persons as to the political affairs of foreign governments (Paragraph 436.) They must not comment unfavorably upon the institutions or acts of the Government of the country in which they are assigned, nor give publicity to opinions or statements of fact which reflect unfavorably on the customs and manners of the people.

Requests by private persons or firms for information of any kind relating to the business of competing American firms should be refused. In describing market conditions to inquirers care should be exercised to avoid mention by name of other American products or of American firms competing in the same market.

Consular officers should, in no circumstances, disclose information about American firms or their business to other American firms, whether or not they are competitors in the same line of goods. However, this should in no wise prevent officers from giving full information concerning foreign markets, names of importers, rates of duties, and specific suggestions for the extension of trade relations. Consular officers should discreetly reply to requests for information about other American firms to the effect that such information should be procured from the appropriate American manufacturer or head office in the United States.

The records of American citizens registered at consulates, and records of invoices certified, are confidential, and must not be used as sources of information in replying to inquiries.

Consular officers should refuse requests for expression of opinion as to the value of trade publications of all kinds, and as to the merits of particular articles which are sold under trademarks or are patented. Replies to these requests should be of such a character as to preclude their being used for or construed as testimonials.

603b. *Use of name as reference; financial standing of foreign firms.*—Consular officers are forbidden to vouch for the financial standing and for the general responsibility of business men or enterprises. They may, however, refer such inquirers to banks or other business agencies, and in replying should, whenever practicable, discreetly give information regarding the general reputation of the firms or individuals as to whom inquiry has been made, the number of years they have been established, the general character and volume of their business, and other facts of the same nature, such as may be readily ascertained.

603c. *Special lists of foreign firms.*—Special lists of foreign firms interested in specific lines of trade should be prepared for use in connection with replies to trade inquiries. When necessary a list should be prepared especially to meet the exact needs of the inquirer. Lists may be arranged, in the discretion of the consular officer, in the order either of the importance and reputability of the firms listed, or of their probable usefulness to the inquirer.

603d. *Waiver of responsibility.*—Every list of foreign persons or firms which is furnished to an inquirer by a consular officer with a view to the establishment of business relations must be headed by an express waiver of responsibility, stating that the consular officer can accept no responsibility in any way for the persons and firms named, and suggesting means by which the inquirer may inform himself in this respect, such as banks, business organizations, or reporting agencies.

603e. *Information sheets to accompany trade letters.*—In order to shorten the replies to trade inquiries and facilitate the investigations of the inquirers, consular officers are directed to prepare, and transmit with each trade letter an information sheet, setting forth the main facts of commercial importance respecting their districts.

603f. *To be transmitted through Department.*—All consular correspondence touching matters of trade in any way whatsoever must be forwarded to the addressees through the Department of State, unless otherwise specifically authorized by the Department.

OTHER DIRECT SERVICES.

603g. *Aid and advice to citizens visiting district.*—Consular officers will give all proper aid and advice to American citizens visiting their districts on commercial and other business, and to the traveling salesmen and other representatives abroad of American manufacturers and exporters. They should endeavor to facilitate in every proper way the legitimate business in connection with American trade interests which these persons have in hand, not only by furnishing them with needful information, but by aiding them to establish relations with business firms and officials with whom it is necessary or desirable that they become acquainted. At the same time they will carefully avoid the appearance of lending official endorsement to the enterprises in which these persons are interested.

603h. *Not to act as agent.*—Consular officers are forbidden by law to assume in any way the role of business agent for particular concerns. They must not solicit orders for them, nor undertake the distribution of samples or printed matter, although catalogues, and, when the facilities of the office permit, small samples may properly be received for display in the consulate, and the names of particular firms may be supplied in response to appropriate inquiries. They must not execute purchasing commissions of importance for private firms or individuals except at the direction of the Department of State.

603i. *Prosecution of private claims; collection of debts.*—It is no part of the duty of consular officers to attend to the collection of commercial debts or to the prosecution of other private claims of American citizens in foreign counries, although in appropriate cases they should use their good offices to effect amicable adjustments, and in general they should have such relationships in the business communities of their districts as will enable them to mediate successfully in bringing about an amicable adjustment. When mediation has, however, proved unsuccessful, or when the consul apprehends that his interference would be inexpedient, or might be detrimental to the standing and dignity of the consulate, he should limit his action to furnishing the names of reputable persons competent to act for the inquirer in the premises, such as lawyers, banks, or collection agencies.

603j. *Complaints against American exporters.*—When complaints are made against American exporters by their foreign customers, in apparent good faith, consular officers should endeavor to effect a satisfactory adjustment, with a view to protecting the national commercial reputation of the United States. They may, within their discretion, write directly to the American parties in interest, transmitting the letter as usual through the Department of State. Such letters should include a full statement of the facts ascertainable, together with copies of all pertinent correspondence and documents. They should take the form of a request for information or explanation, and carefully avoid an assumption of dereliction on the part of the addressees. When it is felt that the difficulty can not be handled in this manner, the consular officer will transmit the data concerning the trade dispute under a covering despatch, enclosing a separate memorandum setting forth in detail the allegations of the complainant together with any evidence furnished in support thereof. The covering despatch should furnish the consular officer's views and deductions with regard to the subject matter of the complaint. The memorandum should contain the facts of the case in such form as to permit its submission to the American firm concerned. Both the covering despatch and the memorandum should be forwarded to the Department in triplicate.

603k. *Surveys.*—Consular officers are sometimes asked to appoint boards of survey to examine and report on the condition of American merchandise imported into foreign countries of which complaint has been made by the importers. A consul has no statutory authority in this respect, and the findings of such a board would be without conclusive effect in the United States. Nevertheless, if the local law does not forbid, consuls should accede to requests of this character, using their best efforts and judgment to find impartial experts competent to the work in hand. The findings of the board may be forwarded by the Consul, through the Department of State, to the exporter in the United States, together with any comments he may consider appropriate. Oaths of the surveyors to their findings are unnecessary, but may be administered when requested by the party calling for the survey, a fee of $2.00 (item 33 of the tariff of fees) being charged.

603–l. *Trade conferences.*—When consular officers visit the United States personal conferences may be arranged, in appropriate circumstances, between them and American manufacturers and exporters, in order that the latter may learn by direct interchange, of the opportunities for the establishment or extension of their trade in the officer's district. Consular officers may at the same time learn from American manufacturers and exporters the viewpoint of the American seller, his facilities for handling foreign trade, and his requirements and expectations. Consular officers are required, before leaving their posts for the United States, to prepare themselves especially for these interviews; and, upon their return from the United States, or immediately before their departure therefrom, to submit to the Department of State a detailed report of conferences held.

COOPERATION IN TRADE PROMOTION.

603m. As the success of trade promotion work depends to a great extent upon coordination of effort, the fullest cooperation is required between consuls, supervising consuls general, and the diplomatic missions; and the cooperative spirit shown by individual consular officers in adjusting their efforts to the demands of national or regional coordination will be considered in determining their efficiency ratings in trade promotion.

As an important part of their functions supervising consuls general are charged with the general direction of trade promotion activities in their respective jurisdictions, and are authorized, subject to the approval of the Department of State, to issue to the consuls resident therein instructions designed to obviate duplication of effort, and to give harmony to their commercial activities.

Supervising consuls general should not, however, exercise their authority in such a manner as unduly to discourage initiative or voluntary effort on the part of the consuls in their jurisdictions. The special knowledge, judgment, and interest possessed by each principal consular officer with regard to his district must be recognized, and, so far as may be consistent with the avoidance of duplication and unnecessary effort, each such officer must be given unlimited opportunity for the preparation of reports on all matters arising in his district and primary responsibility for the protection and promotion of American trade therein.

Commercial attachés, as members of the diplomatic missions, like other members thereof, have no formal relations with consular officers except through the chiefs of mission. Such correspondence as a chief of mission may authorize a commercial attaché to conduct in his own name with consular officers must pass through the supervising consul general.

WARREN G HARDING

THE WHITE HOUSE,
March 27, 1922.

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